

# Indirect Spend Optimisation & Supplier Rationalisation

A €92.5M indirect spend diagnostic for a European logistics-tech scale-up

Prepared by Shruti Morab · Procurement & Strategic Sourcing  
Client European logistics-tech scale-up (client anonymised) · Engagement: indirect procurement review  
Data Synthetic — 13,199 PO lines, 109 suppliers, 10 categories, 24 months (Jul 2024–Jun 2026)

## Executive summary

A fast-growing European logistics-tech scale-up asked us to review €92.5M of indirect spend and answer a simple question: where is the money leaking, and what should we do first? Rapid growth had left indirect procurement fragmented — no central category ownership, spend spread across 109 suppliers, and rising off-contract purchasing. This review turns two years of purchase-order data into a prioritised sourcing agenda and a 90-day plan.

The headline: we identified a **realistic annual savings opportunity of roughly €1.3–1.9M** — against a theoretical ceiling closer to €4M. The gap between the two matters. The ceiling assumes every item is repriced to its best-ever price and every off-contract euro is recovered; the realistic figure applies category-level capture rates that reflect how sourcing actually lands. We recommend chasing the realistic number in three sequenced waves, and de-risking a supplier base where a single vendor now carries 16% of total spend.

**Bottom line.** The biggest prize is not the category with the worst price discipline (IT Hardware) — it is the two largest categories, Professional Services and Marketing, where even a modest price spread applies to a very large base. Sequence the work by euros at stake, not by percentage spread.

## 1. Situation & mandate

The client has scaled headcount and geography quickly over three years. Indirect procurement did not keep pace: category ownership is thin, buying is decentralised across four business units, and contract coverage is patchy. Ahead of the next funding round, leadership wants two things — demonstrable savings, and a supply base that no longer carries concentration risk.

### The four questions we were asked

- Where is our indirect spend concentrated, and where is it fragmenting?
- How much spend bypasses our contracts, and what is it costing us?
- Which categories and suppliers are the priority savings opportunities?
- What should we do first — over the next 90 days?

Every finding and recommendation in this report traces back to one of these four questions.

## 2. Approach

We followed a standard analytics workflow — Ask, Prepare, Process, Analyse, Share, Act — applied to the client's line-item purchase-order data. The data model is a classic spend cube: who bought (business units), what (categories and items), from whom (suppliers), and the transactions themselves, with a contracts table that lets us flag any spend placed off-contract.

| Phase   | What we did                                                                   |
|---------|-------------------------------------------------------------------------------|
| Ask     | Framed the four mandate questions as testable hypotheses.                     |
| Prepare | Validated the data: no orphan suppliers, no negative quantities or prices, no |

| Phase          | What we did                                                                                          |
|----------------|------------------------------------------------------------------------------------------------------|
|                | category mismatches.                                                                                 |
| <b>Process</b> | Segmented spend by category, business unit, supplier and month; flagged on- vs off-contract lines.   |
| <b>Analyse</b> | Ran Pareto/ABC concentration, price-variance, maverick-spend and tail-consolidation analyses in SQL. |
| <b>Share</b>   | Translated findings into this report and an executive deck for a non-technical audience.             |
| <b>Act</b>     | Built a prioritised, capture-rate-adjusted savings bridge and a phased 90-day roadmap.               |

## 3. Diagnostic findings

### 3.1 Where the money goes

Spend is heavily weighted to a few categories. Marketing Services (27%), Professional Services (22%) and Facilities (14%) together account for almost two-thirds of the €92.5M base. A recurring October spike — roughly €5.0M versus a €3.4M baseline month — points to year-end budget-flush behaviour worth governance attention.

| Category                 | Spend (€M) | % of total |
|--------------------------|------------|------------|
| Marketing Services       | 24.95      | 27.0%      |
| Professional Services    | 19.94      | 21.6%      |
| Facilities Services      | 13.38      | 14.5%      |
| Logistics Services       | 9.52       | 10.3%      |
| IT Hardware              | 6.55       | 7.1%       |
| Software & SaaS          | 6.35       | 6.9%       |
| All other (4 categories) | 11.81      | 12.6%      |

### 3.2 Supplier concentration cuts both ways

Just **14 suppliers** — **13% of a 109-supplier base** — **carry 80% of spend**. That concentration is leverage at the negotiating table, but it is also risk: the single largest supplier alone represents 16% of total spend. An ABC view makes the tail visible — 61 C-suppliers share less than €5M between them, each one carrying fixed onboarding, compliance and payment overhead.

| ABC class            | Suppliers | Spend (€M) | % base |
|----------------------|-----------|------------|--------|
| A — top 80% of spend | 14        | 72.86      | 12.8%  |
| B — next 15%         | 34        | 14.85      | 31.2%  |
| C — tail 5%          | 61        | 4.79       | 56.0%  |

### 3.3 Price variance is the biggest prize

The same catalogue items are bought at very different unit prices across business units and suppliers. Repricing all volume to each item's best observed price would free **€5.68M (6.1% of spend)** in theory. IT Hardware shows the worst discipline by percentage — spreads of 33–37% between the best and worst price paid for identical items — but in absolute euros the exposure sits in the large categories:

| Category              | Variance (€M) | % of cat. spend |
|-----------------------|---------------|-----------------|
| Professional Services | 1.49          | 7.5%            |
| Marketing Services    | 1.29          | 5.2%            |
| Logistics Services    | 0.72          | 7.6%            |
| Facilities Services   | 0.54          | 4.1%            |
| IT Hardware           | 0.52          | 7.9%            |

**Consultant's read.** Percentage spread tells you where discipline is worst; absolute euros tell you where to start. Professional Services and Marketing carry three times the recoverable value of IT Hardware despite lower percentage spreads. This reorders the sourcing agenda.

### 3.4 Maverick spend is a process problem with a name

16.5% of network spend — €15.2M over the period — is placed off-contract. It is not evenly spread:

**Operations South runs at 23.7% off-contract versus 11.8% at Central Functions.** Off-contract lines carry an 8.4% average price premium over on-contract prices for identical items, which annualises to roughly €1.2M of leakage. The fix is process, not negotiation — catalogue coverage, approval workflows and business-unit compliance reporting.

| Business unit     | Spend (€M) | Maverick % |
|-------------------|------------|------------|
| Operations South  | 24.48      | 23.7%      |
| Digital & Tech    | 17.61      | 16.6%      |
| Operations North  | 22.23      | 14.3%      |
| Central Functions | 28.18      | 11.8%      |

### 3.5 The supplier tail is real but modest

Fragmentation concentrates in a few low-value categories: MRO & Maintenance carries 16 sub-€100k suppliers (€534k of scattered spend) and Office Supplies 14. Consolidating these is worthwhile housekeeping — roughly €44k a year — but it is a quick win to be sequenced after the price-variance and maverick fixes, not a headline.

## 4. The savings bridge

Theoretical ceilings overstate what sourcing actually captures. We scoped each lever to where the euros are, then applied realistic capture rates. Figures below are annual run-rate (the dataset spans two years, so 24-month totals are halved).

| Lever                                                           | Identified /yr         | Capture | Realistic /yr    |
|-----------------------------------------------------------------|------------------------|---------|------------------|
| Framework agreements & catalogue enforcement (top-5 categories) | €2.28M                 | 30–50%  | €0.7–1.1M        |
| Maverick-spend compliance programme (Operations South first)    | €1.2M                  | 50–60%  | €0.6–0.7M        |
| Tail consolidation (MRO, Office Supplies, Packaging)            | €0.09M                 | ~50%    | €0.04M           |
| <b>Total realistic annual opportunity</b>                       | <b>≈ €4.0M ceiling</b> |         | <b>€1.3–1.9M</b> |

*Capture rates are assumptions, stated on purpose. They reflect that no programme reprices every line to the best-ever price or recovers every off-contract euro; they can be tightened as category owners validate the scope.*

## 5. Recommendations

Three sourcing moves and one risk move, in order of value and readiness:

### Priority 1 — Framework agreements + catalogue enforcement

Put framework agreements and enforced catalogues behind the two largest categories first — Professional Services and Marketing — then IT Hardware, where the percentage spread is worst. This removes the price variance at source rather than chasing it line by line.

### Priority 2 — Maverick-spend compliance programme

Stand up a compliance programme targeting Operations South: expand catalogue coverage, route spend through approval workflows, and publish maverick-percentage scorecards per business unit. This is a governance fix that pays back quickly because it needs no new negotiation.

### Priority 3 — Tail consolidation

Consolidate the sub-€100k tail in MRO, Office Supplies and Packaging onto preferred suppliers. Modest savings, but it also cuts onboarding and compliance overhead and is an easy early proof point.

### Risk move — De-risk the top of the base

With one supplier at 16% and 14 suppliers at 80% of spend, agree dual-source or contingency arrangements for the top three vendors and build a contract-expiry pipeline. This directly addresses the funding-round readiness the client asked for.

## 6. 90-day roadmap

| Window    | Focus                 | Actions                                                                                                                            |
|-----------|-----------------------|------------------------------------------------------------------------------------------------------------------------------------|
| Days 0–30 | Mobilise & quick wins | Validate findings with category owners; consolidate Office Supplies / MRO tail; stand up the spend dashboard as a monthly cadence. |

| Window     |                        | Focus | Actions                                                                                                                               |
|------------|------------------------|-------|---------------------------------------------------------------------------------------------------------------------------------------|
| Days 30–60 | Compliance & catalogue |       | Launch the maverick programme in Operations South: catalogue coverage, approval workflow, BU compliance scorecards.                   |
| Days 60–90 | Sourcing waves         |       | Open framework-agreement tenders in Professional Services and IT Hardware; agree dual-source plan for the top-3 suppliers.            |
| Beyond 90  | Scale & sustain        |       | Roll frameworks across Marketing, Facilities and Logistics; build a contract-expiry pipeline; run quarterly reviews with A-suppliers. |

## 7. Risks, assumptions & limitations

- Savings estimates are **modelled**, using rule-of-thumb capture rates; they are directional and should be firmed up with category owners before targets are set.
- The dataset is synthetic and simplifies reality — no payment terms, currencies, credit notes or supplier parent/child hierarchies.
- Price-variance analysis assumes items are genuinely comparable; some spread may reflect specification or service-level differences rather than pure price.
- The theoretical ceiling (best-ever price on every line) is a benchmark, not a target — it will not be captured in full.

## Appendix — Data & method

Source: a synthetic SQLite spend database (6 tables, line-item grain) with a companion formula-driven Excel dashboard. Analyses were written in SQL (Pareto/ABC via cumulative window functions, maverick spend via a LEFT JOIN to the contracts table, price variance via per-item best-price simulation). No employer or client data was used. Full query set and reproducible build script are published in the project repository.

[github.com/ShrutiSMorab/procurement-spend-analytics](https://github.com/ShrutiSMorab/procurement-spend-analytics)